included serious attempts by Nepal to draw closer militarily to China in the 1980s, by the United States to prevent a decisive Indian victory in Bangladesh in the early 1970s, and by various actors—including the United States, the Soviet Union, China, Pakistan, United Kingdom and even South Africa—to increase their influence in the Indian Ocean basin.

Nonetheless, India's approach was hardly an unmitigated success. In fact, many of India's smaller neighbours were sometimes successful in using relations with extra-regional powers to gain leverage with India. In Nepal, Chinese aid came close to matching Indian aid in 1976–77. In the late 1980s, King Birendra made attempts at deepening military and intelligence cooperation with China. Bangladesh also established military relations with Beijing after Mujib's death in 1975. In 1977, under Ziaur Rehman's leadership, Bangladesh began to receive arms from China. In 1979, senior military exchanges between Bangladesh and China began and two-way chief of staff visits became annual affairs. Over the following years, Bangladesh became the second largest recipient of Chinese arms, after Pakistan. In 1986–87, during the Sumdorongchu stand-off between India and China, President Hussein Muhammad Ershad reportedly assured Beijing that he would not permit India to move its forces through Bangladeshi territory. The relationship between China and Sri Lanka also grew. From the 1950s onwards, China provided subsidized rice and railway equipment to Sri Lanka and from 1980 military support, including naval vessels, small arms, and transport aircraft. [48]

But India's response to developments in the 1970s—particularly in Bangladesh and Sri Lanka—had other consequences. Efforts at regionalism were half-hearted and poorly designed. The year 1985 saw the establishment of the South Asian Association for Regional Cooperation (SAARC). The effort to create SAARC was led by Bangladesh, with support from Sri Lanka, but there were reasons for hesitation on the part of India. One fear was that the coalition might hem India in, much as the Association of Southeast Asian Nations (ASEAN) had narrowed power imbalances in Southeast Asia between Indonesia and other countries. For this reason, India insisted on unanimity in decision-making within SAARC.